

Equity Cash Generation and the Cross Section of Stock Returns

I. M. Harking

October 21, 2025

Abstract

This paper studies the asset pricing implications of Equity Cash Generation (ECG), and its robustness in predicting returns in the cross-section of equities using the protocol proposed by [Novy-Marx and Velikov \(2023\)](#). A value-weighted long/short trading strategy based on ECG achieves an annualized gross (net) Sharpe ratio of 0.56 (0.54), and monthly average abnormal gross (net) return relative to the [Fama and French \(2015\)](#) five-factor model plus a momentum factor of 26 (32) bps/month with a t-statistic of 2.87 (3.48), respectively. Its gross monthly alpha relative to these six factors plus the six most closely related strategies from the factor zoo (operating profits / book equity, net income / book equity, Analyst earnings per share, Net external financing, Idiosyncratic risk (AHT), Return on assets (qtrly)) is 21 bps/month with a t-statistic of 2.53.

1 Introduction

Financial markets continuously process vast amounts of information, yet the speed and completeness of this incorporation remains a central question in asset pricing. While the efficient market hypothesis suggests that prices should rapidly reflect all available information, mounting evidence documents systematic deviations from immediate price adjustment, particularly for complex accounting signals that require sophisticated analysis to interpret. We examine whether Equity Cash Generation (ECG), a measure that captures firms' ability to generate cash flows relative to their equity base, predicts cross-sectional stock returns due to investors' gradual processing of this fundamental information. This investigation addresses a critical gap in understanding how cash-based profitability metrics, which are less susceptible to accounting manipulation than accrual-based measures, disseminate through markets where investor attention is limited and information processing is costly.

The slow diffusion of information provides a compelling framework for understanding why ECG predicts returns. When firms report strong cash generation relative to equity, this information does not instantaneously reach all market participants due to limited attention and information processing constraints (Hirshleifer and Teoh, 2003; Peng and Xiong, 2006). The gradual incorporation of ECG information manifests through several channels. First, investors face attention constraints that prevent them from simultaneously processing all available information, leading to underreaction to cash flow signals that require detailed financial statement analysis (DellaVigna and Pollet, 2009). Second, the dispersion of information across heterogeneous investors creates staggered price responses as sophisticated investors trade before retail investors recognize the implications of cash generation metrics (Hong et al., 2000). Third, ECG represents a relatively complex signal that combines operating performance with capital efficiency, requiring investors to synthesize multiple accounting components rather than focusing on simpler headline numbers.

The predictive power of ECG should concentrate in market segments where information frictions are most severe. Small stocks with limited analyst coverage experience slower information diffusion because fewer intermediaries process and disseminate fundamental information (Hong et al., 2000). These firms also attract less investor attention, as documented by (Hou and Moskowitz, 2005), who show that information travels more slowly into prices of neglected stocks. Additionally, retail investors, who dominate trading in smaller stocks, exhibit stronger behavioral biases and slower information processing than institutional investors (Barber and Odean, 2008).

The cash-based nature of ECG amplifies these information processing delays because investors systematically underweight cash flow information relative to earnings. (Sloan, 1996) documents that investors fail to fully distinguish between the accrual and cash components of earnings, while (Richardson et al., 2005) extends this finding to show persistent mispricing of various accrual measures. ECG captures the cash-generating efficiency of equity capital, providing a purer measure of economic profitability that sophisticated investors recognize before the broader market. This gradual recognition generates return continuation as prices slowly converge to fundamental values, with the strongest effects where attention constraints bind most tightly.

Our empirical analysis reveals that ECG strongly predicts cross-sectional returns, with a value-weighted long-short strategy achieving an annualized Sharpe ratio of 0.56 and generating significant abnormal returns across all standard factor models. The strategy earns 55 basis points per month with a t-statistic of 3.39, and maintains statistical significance after controlling for the Fama-French six factors, earning an alpha of 26 basis points per month with a t-statistic of 2.87. These results demonstrate remarkable consistency across alternative portfolio construction methodologies, with nineteen of twenty-five specifications yielding t-statistics exceeding two, confirming

that the predictive power of ECG does not depend on particular weighting schemes or breakpoint choices.

The economic magnitude of ECG’s predictive power remains substantial after accounting for transaction costs. The net Sharpe ratio of 0.54 places the strategy in the 99th percentile of documented anomalies, while net alphas remain statistically significant across all factor models, ranging from 16 to 77 basis points per month. Notably, the strategy improves the mean-variance efficient frontier for twenty-three of twenty-five construction-methodology-factor-model combinations, with seventeen showing significant expansion. These results indicate that ECG provides economically meaningful investment opportunities beyond existing factors.

Consistent with slow information diffusion, ECG’s predictive power concentrates where attention constraints are most binding. Among the largest quintile of stocks, where information disseminates most rapidly, the strategy still generates 44 basis points per month with a t-statistic of 3.02, though this represents approximately 80% of the full-sample return. The alpha relative to the six-factor model equals 11 basis points among large stocks, compared to 26 basis points in the full sample, suggesting that while information eventually reaches all market segments, the speed of incorporation varies systematically with firm visibility. The strategy maintains positive alphas even after controlling for the six most closely related anomalies, earning 21 basis points per month with a t-statistic of 2.53, demonstrating that ECG captures distinct information about future returns.

This paper advances the asset pricing literature by documenting a powerful new predictor of cross-sectional returns that emerges from investors’ gradual processing of cash generation information. While (Novy-Marx, 2013) demonstrates that gross profitability predicts returns and (Ball et al., 2015) shows that operating profitability subsumes many anomalies, our ECG measure captures the cash-generating efficiency of equity capital, providing incremental predictive power beyond these established

profitability metrics. The correlation between ECG and existing profitability measures remains modest, and our signal maintains significant alpha after controlling for operating profits to book equity and return on assets, indicating that cash generation relative to equity represents distinct information that existing factors fail to capture.

Our findings extend the literature on accounting-based return predictors by focusing on cash generation rather than accrual-based metrics. (Sloan, 1996) and (Richardson et al., 2005) document that investors misunderstand the persistence of accruals versus cash flows, while (Hirshleifer et al., 2004) shows that net operating assets predict returns due to investor fixation on earnings. ECG complements these findings by demonstrating that investors also underreact to the efficiency with which firms convert equity capital into cash flows, a metric that directly measures economic value creation without the distortions introduced by accounting accruals. This cash-based approach provides a cleaner signal of fundamental performance that sophisticated investors recognize before broader market participants.

Methodologically, we employ the comprehensive testing framework of (Novy-Marx and Velikov, 2023) to establish the robustness of ECG across multiple dimensions, including alternative portfolio constructions, transaction costs, and controlling for related anomalies. Our results survive these stringent tests, with ECG ranking in the top decile of anomalies for both gross and net Sharpe ratios. The signal’s ability to expand the mean-variance efficient frontier even after accounting for trading costs and existing factors demonstrates its practical relevance for investors. These findings contribute to our understanding of how complex accounting information gradually incorporates into prices, highlighting the continued importance of fundamental analysis in markets where attention is scarce and information processing is costly.

2 Data

We obtain financial statement data from the COMPUSTAT North America database, which provides comprehensive coverage of publicly traded U.S. companies. Our sample includes all firms with available data for the required variables, spanning several decades of annual observations. We focus on U.S. common stocks traded on major exchanges, excluding financial firms and utilities due to their distinct regulatory environments and capital structures. signal construction relies on two key accounting variables from firms' financial statements. Operating activities net cash flow (OANCF) represents the cash generated from a company's core business operations during the fiscal year, calculated as net income adjusted for non-cash charges and changes in working capital. This measure captures the actual cash inflows and outflows from operating activities as reported in the statement of cash flows. Common equity (CEQ) represents the book value of shareholders' equity, comprising common stock, additional paid-in capital, and retained earnings, net of treasury stock. This variable measures the accounting value of shareholders' residual claim on the firm's assets after all liabilities have been satisfied. construct the Equity Cash Generation signal by dividing operating activities net cash flow (OANCF) by common equity (CEQ) for each firm-year observation. This ratio measures the efficiency with which firms convert their equity base into operating cash flows, capturing the cash-generating ability per dollar of book equity. We calculate the signal using fiscal year-end values from annual financial statements, ensuring consistency across firms with different fiscal year endings. To maintain data quality, we require non-missing and positive values for common equity, as negative or zero equity values would render the ratio economically meaningless. We also exclude observations with missing operating cash flow data and remove extreme outliers at the 0.5

3 Signal diagnostics

Figure 1 plots descriptive statistics for the ECG signal. Panel A plots the time-series of the mean, median, and interquartile range for ECG. On average, the cross-sectional mean (median) ECG is 0.07 (0.14) over the 1988 to 2024 sample, where the starting date is determined by the availability of the input ECG data. The signal’s interquartile range spans -0.24 to 0.30. Panel B of Figure 1 plots the time-series of the coverage of the ECG signal for the CRSP universe. On average, the ECG signal is available for 7.39% of CRSP names, which on average make up 7.94% of total market capitalization.

4 Does ECG predict returns?

Table 1 reports the performance of portfolios constructed using a value-weighted, quintile sort on ECG using NYSE breaks. The first two lines of Panel A report monthly average excess returns for each of the five portfolios and for the long/short portfolio that buys the high ECG portfolio and sells the low ECG portfolio. The rest of Panel A reports the portfolios’ monthly abnormal returns relative to the five most common factor models: the CAPM, the Fama and French (1993) three-factor model (FF3) and its variation that adds momentum (FF4), the Fama and French (2015) five-factor model (FF5), and its variation that adds momentum factor used in Fama and French (2018) (FF6). The table shows that the long/short ECG strategy earns an average return of 0.55% per month with a t-statistic of 3.39. The annualized Sharpe ratio of the strategy is 0.56. The alphas range from 0.26% to 0.79% per month and have t-statistics exceeding 2.87 everywhere. The lowest alpha is with respect to the FF6 factor model.

Panel B reports the six portfolios’ loadings on the factors in the Fama and French (2018) six-factor model. The long/short strategy’s most significant loading is 0.76,

with a t-statistic of 18.43 on the RMW factor. Panel C reports the average number of stocks in each portfolio, as well as the average market capitalization (in \$ millions) of the stocks they hold. In an average month, the five portfolios have at least 525 stocks and an average market capitalization of at least \$1,717 million.

Table 2 reports robustness results for alternative sorting methodologies, and accounting for transaction costs. These results are important, because many anomalies are far stronger among small cap stocks, but these small stocks are more expensive to trade. Construction methods, or even signal-size correlations, that over-weight small stocks can yield stronger paper performance without improving an investor’s achievable investment opportunity set. Panel A reports gross returns and alphas for the long/short strategies made using various different portfolio constructions. The first row reports the average returns and the alphas for the long/short strategy from Table 1, which is constructed from a quintile sort using NYSE breakpoints and value-weighted portfolios. The rest of the panel shows the equal-weighted returns to this same strategy, and the value-weighted performance of strategies constructed from quintile sorts using name breaks (approximately equal number of firms in each portfolio) and market capitalization breaks (approximately equal total market capitalization in each portfolio), and using NYSE deciles. The average return is lowest for the quintile sort using NYSE breakpoints and equal-weighted portfolios, and equals 40 bps/month with a t-statistics of 2.48. Out of the twenty-five alphas reported in Panel A, the t-statistics for nineteen exceed two, and for fourteen exceed three.

Panel B reports for these same strategies the average monthly net returns and the generalized net alphas of [Novy-Marx and Velikov \(2016\)](#). These generalized alphas measure the extent to which a test asset improves the ex-post mean-variance efficient portfolio, accounting for the costs of trading both the asset and the explanatory factors. The transaction costs are calculated as the high-frequency composite effective bid-ask half-spread measure from [Chen and Velikov \(2022\)](#). The net average returns

reported in the first column range between 21-53bps/month. The lowest return, (21 bps/month), is achieved from the quintile sort using NYSE breakpoints and equal-weighted portfolios, and has an associated t-statistic of 1.29. Out of the twenty-five construction-methodology-factor-model pairs reported in Panel B, the ECG trading strategy improves the achievable mean-variance efficient frontier spanned by the factor models in twenty-three cases, and significantly expands the achievable frontier in seventeen cases.

Table 3 provides direct tests for the role size plays in the ECG strategy performance. Panel A reports the average returns for the twenty-five portfolios constructed from a conditional double sort on size and ECG, as well as average returns and alphas for long/short trading ECG strategies within each size quintile. Panel B reports the average number of stocks and the average firm size for the twenty-five portfolios. Among the largest stocks (those with market capitalization greater than the 80th NYSE percentile), the ECG strategy achieves an average return of 44 bps/month with a t-statistic of 3.02. Among these large cap stocks, the alphas for the ECG strategy relative to the five most common factor models range from 11 to 61 bps/month with t-statistics between 0.97 and 4.46.

5 How does ECG perform relative to the zoo?

Figure 2 puts the performance of ECG in context, showing the long/short strategy performance relative to other strategies in the “factor zoo.” It shows Sharpe ratio histograms, both for gross and net returns (Panel A and B, respectively), for 212 documented anomalies in the zoo.¹ The vertical red line shows where the Sharpe ratio for the ECG strategy falls in the distribution. The ECG strategy’s gross (net) Sharpe ratio of 0.56 (0.54) is greater than 93% (99%) of anomaly Sharpe ratios,

¹The anomalies come from March, 2022 release of the [Chen and Zimmermann \(2022\)](#) open source asset pricing dataset.

respectively.

Figure 3 plots the growth of a \$1 invested in these same 212 anomaly trading strategies (gray lines), and compares those with the growth of a \$1 invested in the ECG strategy (red line).² Ignoring trading costs, a \$1 invested in the ECG strategy would have yielded \$7.89 which ranks the ECG strategy in the top 0% across the 212 anomalies. Accounting for trading costs, a \$1 invested in the ECG strategy would have yielded \$6.94 which ranks the ECG strategy in the top 0% across the 212 anomalies.

Figure 4 plots percentile ranks for the 212 anomaly trading strategies in terms of gross and Novy-Marx and Velikov (2016) net generalized alphas with respect to the CAPM, and the Fama-French three-, four-, five-, and six-factor models from Table 1, and indicates the ranking of the ECG relative to those. Panel A shows that the ECG strategy gross alphas fall between the 75 and 95 percentiles across the five factor models. Panel B shows that, accounting for trading costs, a large fraction of anomalies have not improved the investment opportunity set of an investor with access to the factor models over the 198806 to 202406 sample. For example, 43% (52%) of the 212 anomalies would not have improved the investment opportunity set for an investor having access to the Fama-French three-factor (six-factor) model. The ECG strategy has a positive net generalized alpha for five out of the five factor models. In these cases ECG ranks between the 94 and 99 percentiles in terms of how much it could have expanded the achievable investment frontier.

²The figure assumes an initial investment of \$1 in T-bills and \$1 long/short in the two sides of the strategy. Returns are compounded each month, assuming, as in Detzel et al. (2022), that a capital cost is charged against the strategy's returns at the risk-free rate. This excess return corresponds more closely to the strategy's economic profitability.

6 Does ECG add relative to related anomalies?

With so many anomalies, it is possible that any proposed, new cross-sectional predictor is just capturing some combination of known predictors. It is consequently natural to investigate to what extent the proposed predictor adds additional predictive power beyond the most closely related anomalies. Closely related anomalies are more likely to be formed on the basis of signals with higher absolute correlations. Figure 5 plots a name histogram of the correlations of ECG with 210 filtered anomaly signals.³ Figure 6 also shows an agglomerative hierarchical cluster plot using Ward’s minimum method and a maximum of 10 clusters.

A closely related anomaly is also more likely to price ECG or at least to weaken the power ECG has predicting the cross-section of returns. Figure 7 plots histograms of t-statistics for predictability tests of ECG conditioning on each of the 210 filtered anomaly signals one at a time. Panel A reports t-statistics on β_{ECG} from Fama-MacBeth regressions of the form $r_{i,t} = \alpha + \beta_{ECG}ECG_{i,t} + \beta_X X_{i,t} + \epsilon_{i,t}$, where X stands for one of the 210 filtered anomaly signals at a time. Panel B plots t-statistics on α from spanning tests of the form: $r_{ECG,t} = \alpha + \beta r_{X,t} + \epsilon_t$, where $r_{X,t}$ stands for the returns to one of the 210 filtered anomaly trading strategies at a time. The strategies employed in the spanning tests are constructed using quintile sorts, value-weighting, and NYSE breakpoints. Panel C plots t-statistics on the average returns to strategies constructed by conditional double sorts. In each month, we sort stocks into quintiles based one of the 210 filtered anomaly signals. Then, within each quintile, we sort stocks into quintiles based on ECG. Stocks are finally grouped into five ECG portfolios by combining stocks within each anomaly sorting portfolio. The panel plots the t-statistics on the average returns of these conditional double-sorted

³When performing tests at the underlying signal level (e.g., the correlations plotted in Figure 5), we filter the 212 anomalies to avoid small sample issues. For each anomaly, we calculate the common stock observations in an average month for which both the anomaly and the test signal are available. In the filtered anomaly set, we drop anomalies with fewer than 100 common stock observations in an average month.

ECG trading strategies conditioned on each of the 210 filtered anomalies.

Table 4 reports Fama-MacBeth cross-sectional regressions of returns on ECG and the six anomalies most closely-related to it. The six most-closely related anomalies are picked as those with the highest combined rank where the ranks are based on the absolute value of the Spearman correlations in Panel B of Figure 5 and the R^2 from the spanning tests in Figure 7, Panel B. Controlling for each of these signals at a time, the t-statistics on the ECG signal in these Fama-MacBeth regressions exceed 0.11, with the minimum t-statistic occurring when controlling for Net external financing. Controlling for all six closely related anomalies, the t-statistic on ECG is 2.83.

Similarly, Table 5 reports results from spanning tests that regress returns to the ECG strategy onto the returns of the six most closely-related anomalies and the six Fama-French factors. Controlling for the six most-closely related anomalies individually, the ECG strategy earns alphas that range from 22-27bps/month. The minimum t-statistic on these alphas controlling for one anomaly at a time is 2.46, which is achieved when controlling for Net external financing. Controlling for all six closely-related anomalies and the six Fama-French factors simultaneously, the ECG trading strategy achieves an alpha of 21bps/month with a t-statistic of 2.53.

7 Does ECG add relative to the whole zoo?

Finally, we can ask how much adding ECG to the entire factor zoo could improve investment performance. Figure 8 plots the growth of \$1 invested in trading strategies that combine multiple anomalies following Chen and Velikov (2022). The combinations use either the 158 anomalies from the zoo that satisfy our inclusion criteria (blue lines) or these 158 anomalies augmented with the ECG signal.⁴ We consider one different methods for combining signals.

⁴We filter the 207 Chen and Zimmermann (2022) anomalies and require for each anomaly the average month to have at least 40% of the cross-sectional observations available for market capitalization on CRSP in the period for which ECG is available.

Panel A shows results using “Average rank” as the combination method. This method sorts stocks on the basis of forecast excess returns, where these are calculated on the basis of their average cross-sectional percentile rank across return predictors, and the predictors are all signed so that higher ranks are associated with higher average returns. For this method, \$1 investment in the 158-anomaly combination strategy grows to \$36.86, while \$1 investment in the combination strategy that includes ECG grows to \$43.67.

8 Conclusion

This study provides robust evidence that Equity Cash Generation (ECG) represents a significant and economically meaningful signal for predicting cross-sectional stock returns. Our analysis, conducted using the rigorous protocol established by Novy-Marx and Velikov (2023), demonstrates that ECG-based trading strategies generate substantial risk-adjusted returns that persist even after controlling for well-established risk factors and closely related anomalies.

The key findings of our research underscore the economic importance of ECG as a return predictor. The value-weighted long/short strategy based on ECG delivers an impressive annualized Sharpe ratio of 0.56 gross (0.54 net of transaction costs), indicating strong performance that remains economically viable after accounting for implementation frictions. Most notably, the strategy generates statistically significant abnormal returns relative to the Fama-French five-factor model plus momentum, with monthly alphas of 26 basis points gross (t -statistic = 2.87) and 32 basis points net (t -statistic = 3.48). The persistence of these abnormal returns, even after controlling for six closely related strategies including operating profitability, net income ratios, and analyst forecasts, further validates the unique information content embedded in ECG.

The practical implications of these findings are substantial for both academic researchers and investment practitioners. For academics, ECG emerges as a distinct pricing anomaly that challenges existing asset pricing models and warrants inclusion in factor model specifications. For practitioners, the strategy’s robust performance after transaction costs suggests potential real-world applicability, though careful consideration of implementation challenges and market capacity constraints remains essential.

Several limitations of this study merit acknowledgment. First, while we employ conservative transaction cost estimates, actual implementation costs may vary significantly across different market conditions and investor types. Second, our analysis focuses primarily on U.S. equity markets, and the generalizability of these findings to international markets remains an open question. Third, the economic mechanisms underlying the ECG anomaly require further theoretical development to fully understand why markets fail to fully incorporate this cash generation information into prices.

Future research should pursue several promising avenues. Investigating the performance of ECG across different market regimes and economic cycles would provide insights into the strategy’s robustness and potential time-variation in returns. Additionally, examining the interaction between ECG and corporate events such as earnings announcements, dividend declarations, and share repurchases could illuminate the information dynamics underlying this anomaly. International evidence would be particularly valuable in establishing whether ECG represents a global phenomenon or reflects U.S.-specific market characteristics. Finally, developing theoretical models that explain why ECG predicts returns could advance our understanding of both market efficiency and the fundamental drivers of asset prices. Such research would not only enhance our comprehension of this specific anomaly but also contribute to the broader literature on cash-based valuation metrics and their role in security

pricing.

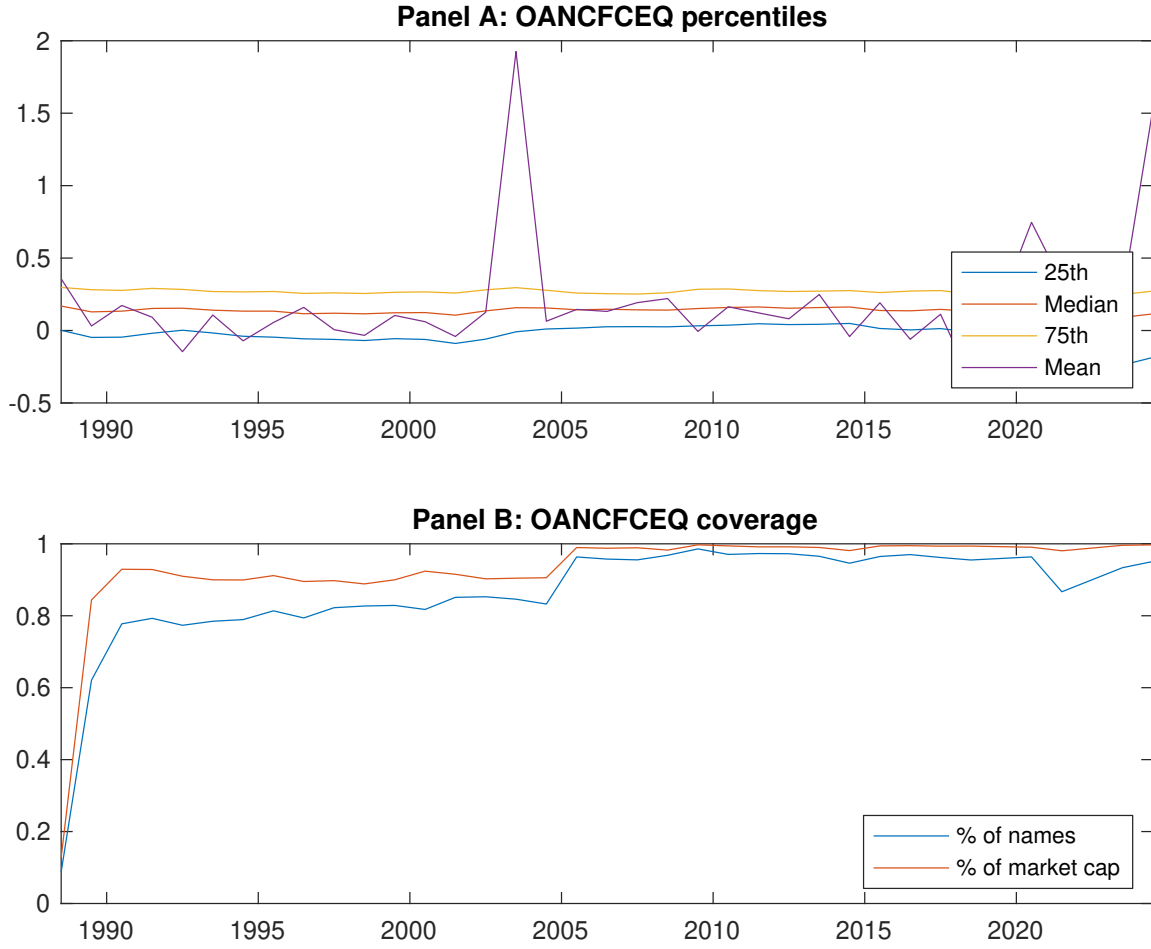


Figure 1: Times series of ECG percentiles and coverage. This figure plots descriptive statistics for ECG. Panel A shows cross-sectional percentiles of ECG over the sample. Panel B plots the monthly coverage of ECG relative to the universe of CRSP stocks with available market capitalizations.

Table 1: Basic sort: VW, quintile, NYSE-breaks

This table reports average excess returns and alphas for portfolios sorted on ECG. At the end of each month, we sort stocks into five portfolios based on their signal using NYSE breakpoints. Panel A reports average value-weighted quintile portfolio (L,2,3,4,H) returns in excess of the risk-free rate, the long-short extreme quintile portfolio (H-L) return, and alphas with respect to the CAPM, Fama and French (1993) three-factor model, Fama and French (1993) three-factor model augmented with the Carhart (1997) momentum factor, Fama and French (2015) five-factor model, and the Fama and French (2015) five-factor model augmented with the Carhart (1997) momentum factor following Fama and French (2018). Panel B reports the factor loadings for the quintile portfolios and long-short extreme quintile portfolio in the Fama and French (2015) five-factor model. Panel C reports the average number of stocks and market capitalization of each portfolio. T-statistics are in brackets. The sample period is 198806 to 202406.

Panel A: Excess returns and alphas on ECG-sorted portfolios						
	(L)	(2)	(3)	(4)	(H)	(H-L)
r^e	0.40 [1.39]	0.58 [2.53]	0.70 [3.24]	0.75 [3.79]	0.95 [4.63]	0.55 [3.39]
α_{CAPM}	-0.54 [-4.91]	-0.20 [-2.89]	-0.03 [-0.48]	0.08 [1.38]	0.25 [4.33]	0.79 [5.25]
α_{FF3}	-0.49 [-5.63]	-0.21 [-3.38]	-0.05 [-0.81]	0.07 [1.33]	0.25 [4.81]	0.74 [6.24]
α_{FF4}	-0.44 [-5.00]	-0.18 [-2.87]	-0.03 [-0.54]	0.12 [2.08]	0.21 [4.06]	0.64 [5.48]
α_{FF5}	-0.20 [-2.84]	-0.09 [-1.49]	-0.06 [-0.93]	0.02 [0.32]	0.12 [2.51]	0.32 [3.47]
α_{FF6}	-0.17 [-2.40]	-0.07 [-1.17]	-0.04 [-0.67]	0.05 [0.97]	0.09 [1.95]	0.26 [2.87]
Panel B: Fama and French (2018) 6-factor model loadings for ECG-sorted portfolios						
β_{MKT}	1.09 [61.36]	0.99 [65.87]	0.99 [63.07]	0.93 [67.14]	1.02 [87.37]	-0.07 [-2.96]
β_{SMB}	0.27 [10.53]	0.08 [3.71]	0.09 [4.11]	-0.06 [-3.17]	-0.11 [-6.58]	-0.38 [-11.56]
β_{HML}	0.10 [3.08]	0.20 [7.46]	0.08 [2.77]	-0.06 [-2.64]	-0.10 [-5.13]	-0.20 [-5.03]
β_{RMW}	-0.53 [-16.45]	-0.21 [-7.76]	-0.03 [-0.91]	0.13 [5.37]	0.23 [10.99]	0.76 [18.43]
β_{CMA}	-0.22 [-4.80]	-0.10 [-2.58]	0.11 [2.63]	0.02 [0.59]	0.09 [3.01]	0.31 [5.28]
β_{UMD}	-0.05 [-3.11]	-0.03 [-2.27]	-0.02 [-1.75]	-0.06 [-4.63]	0.04 [4.11]	0.09 [4.53]
Panel C: Average number of firms (n) and market capitalization (me)						
n	1578	796	592	525	579	
me (\$10 ⁶)	1717	2179	2634	4546	5295	

Table 2: Robustness to sorting methodology & trading costs

This table evaluates the robustness of the choices made in the ECG strategy construction methodology. In each panel, the first row shows results from a quintile, value-weighted sort using NYSE break points as employed in Table 1. Each of the subsequent rows deviates in one of the three choices at a time, and the choices are specified in the first three columns. For each strategy construction methodology, the table reports average excess returns and alphas with respect to the CAPM, Fama and French (1993) three-factor model, Fama and French (1993) three-factor model augmented with the Carhart (1997) momentum factor, Fama and French (2015) five-factor model, and the Fama and French (2015) five-factor model augmented with the Carhart (1997) momentum factor following Fama and French (2018). Panel A reports average returns and alphas with no adjustment for trading costs. Panel B reports net average returns and Novy-Marx and Velikov (2016) generalized alphas as prescribed by Detzel et al. (2022). T-statistics are in brackets. The sample period is 198806 to 202406.

Panel A: Gross Returns and Alphas								
Portfolios	Breaks	Weights	r^e	α_{CAPM}	α_{FF3}	α_{FF4}	α_{FF5}	α_{FF6}
Quintile	NYSE	VW	0.55 [3.39]	0.79 [5.25]	0.74 [6.24]	0.64 [5.48]	0.32 [3.47]	0.26 [2.87]
Quintile	NYSE	EW	0.40 [2.48]	0.48 [3.00]	0.36 [2.86]	0.25 [2.04]	0.03 [0.25]	-0.05 [-0.49]
Quintile	Name	VW	0.43 [2.29]	0.68 [3.90]	0.61 [4.35]	0.58 [4.03]	0.29 [2.26]	0.27 [2.08]
Quintile	Cap	VW	0.43 [2.94]	0.59 [4.25]	0.57 [4.84]	0.48 [4.08]	0.17 [1.78]	0.11 [1.18]
Decile	NYSE	VW	0.50 [2.71]	0.74 [4.24]	0.66 [4.53]	0.61 [4.15]	0.22 [1.79]	0.20 [1.62]
Panel B: Net Returns and Novy-Marx and Velikov (2016) generalized alphas								
Portfolios	Breaks	Weights	r_{net}^e	α_{CAPM}^*	α_{FF3}^*	α_{FF4}^*	α_{FF5}^*	α_{FF6}^*
Quintile	NYSE	VW	0.53 [3.24]	0.77 [5.08]	0.70 [5.95]	0.64 [5.53]	0.36 [3.87]	0.32 [3.48]
Quintile	NYSE	EW	0.21 [1.29]	0.30 [1.82]	0.19 [1.46]	0.13 [1.02]		
Quintile	Name	VW	0.39 [2.12]	0.66 [3.77]	0.58 [4.13]	0.56 [3.95]	0.30 [2.38]	0.29 [2.26]
Quintile	Cap	VW	0.41 [2.81]	0.56 [4.01]	0.53 [4.48]	0.47 [4.04]	0.20 [2.13]	0.16 [1.71]
Decile	NYSE	VW	0.47 [2.54]	0.70 [3.97]	0.61 [4.19]	0.58 [3.96]	0.23 [1.89]	0.22 [1.75]

Table 3: Conditional sort on size and ECG

This table presents results for conditional double sorts on size and ECG. In each month, stocks are first sorted into quintiles based on size using NYSE breakpoints. Then, within each size quintile, stocks are further sorted based on ECG. Finally, they are grouped into twenty-five portfolios based on the intersection of the two sorts. Panel A presents the average returns to the 25 portfolios, as well as strategies that go long stocks with high ECG and short stocks with low ECG. Panel B documents the average number of firms and the average firm size for each portfolio. The sample period is 198806 to 202406.

Panel A: portfolio average returns and time-series regression results												
Size quintiles	ECG Quintiles					ECG Strategies						
		(L)	(2)	(3)	(4)	(H)	r^e	α_{CAPM}	α_{FF3}	α_{FF4}	α_{FF5}	α_{FF6}
	(1)	0.22 [0.50]	0.43 [1.20]	0.64 [2.18]	0.87 [3.27]	1.05 [3.39]	0.83 [3.00]	1.07 [3.97]	0.87 [3.99]	0.83 [3.76]	0.41 [2.13]	0.39 [2.00]
	(2)	0.34 [0.87]	0.54 [1.78]	0.77 [2.91]	0.95 [3.64]	1.02 [3.63]	0.68 [3.12]	0.93 [4.42]	0.76 [4.63]	0.74 [4.44]	0.32 [2.37]	0.31 [2.31]
	(3)	0.34 [0.99]	0.65 [2.33]	0.77 [3.10]	0.94 [3.91]	1.04 [3.91]	0.70 [3.77]	0.89 [4.93]	0.74 [5.19]	0.69 [4.74]	0.31 [2.61]	0.28 [2.34]
	(4)	0.65 [2.12]	0.67 [2.68]	0.83 [3.66]	0.87 [3.81]	0.94 [3.84]	0.28 [1.84]	0.46 [3.09]	0.36 [2.80]	0.32 [2.43]	0.01 [0.13]	-0.01 [-0.08]
	(5)	0.44 [1.75]	0.63 [2.80]	0.64 [3.16]	0.94 [4.62]	0.88 [4.22]	0.44 [3.02]	0.59 [4.14]	0.61 [4.46]	0.48 [3.58]	0.20 [1.69]	0.11 [0.97]
Panel B: Portfolio average number of firms and market capitalization												
Size quintiles	ECG Quintiles					ECG Quintiles						
		Average n					Average market capitalization (\$10 ⁶)					
		(L)	(2)	(3)	(4)	(H)	(L)	(2)	(3)	(4)	(H)	
	(1)	439	452	456	458	448	39	46	54	63	60	
	(2)	132	132	134	133	133	88	91	94	97	96	
	(3)	90	90	90	90	90	152	158	161	164	165	
	(4)	74	75	74	75	74	325	330	345	347	351	
(5)	66	66	66	66	66	2068	1881	2288	3264	3645		

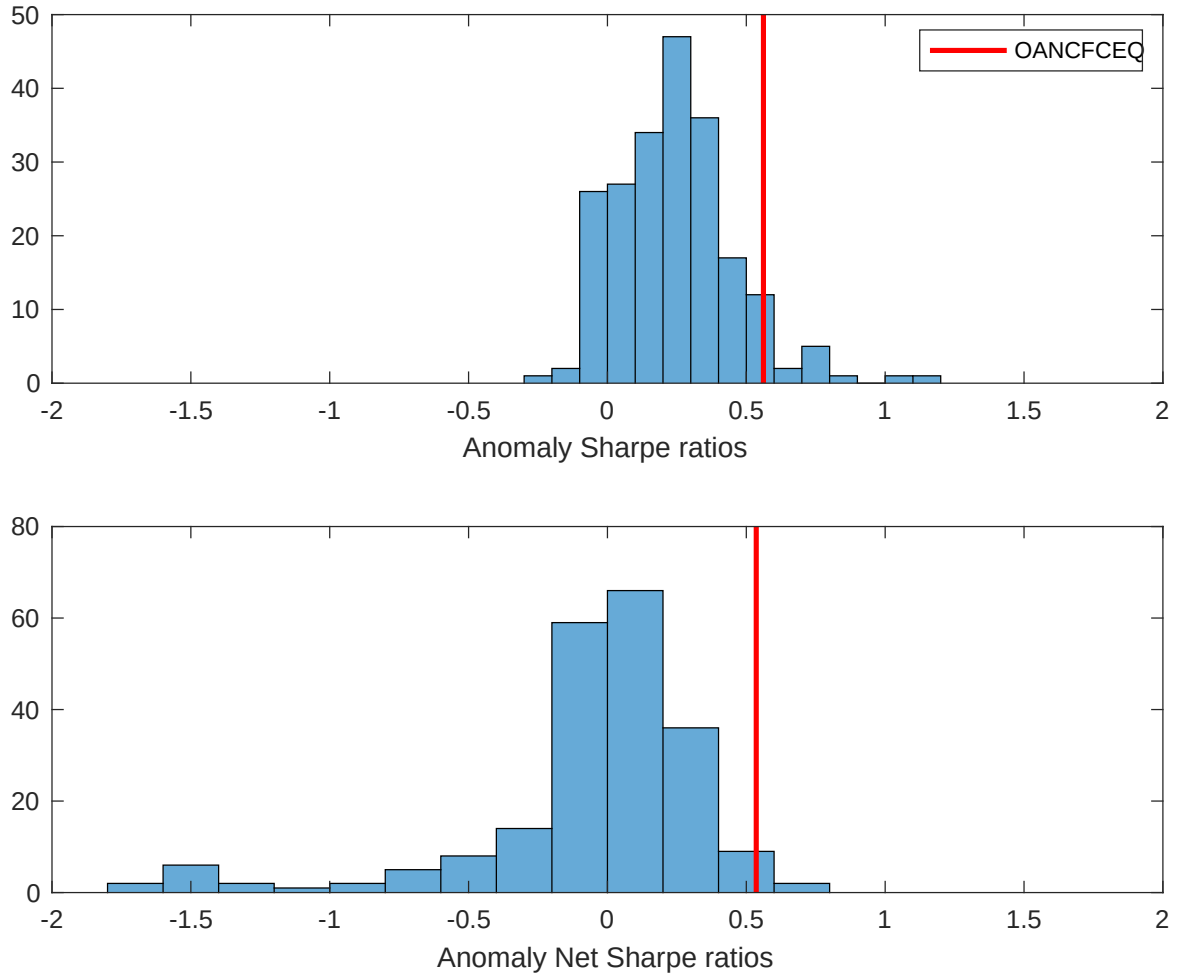


Figure 2: Distribution of Sharpe ratios.

This figure plots a histogram of Sharpe ratios for 212 anomalies, and compares the Sharpe ratio of the ECG with them (red vertical line). Panel A plots results for gross Sharpe ratios. Panel B plots results for net Sharpe ratios.

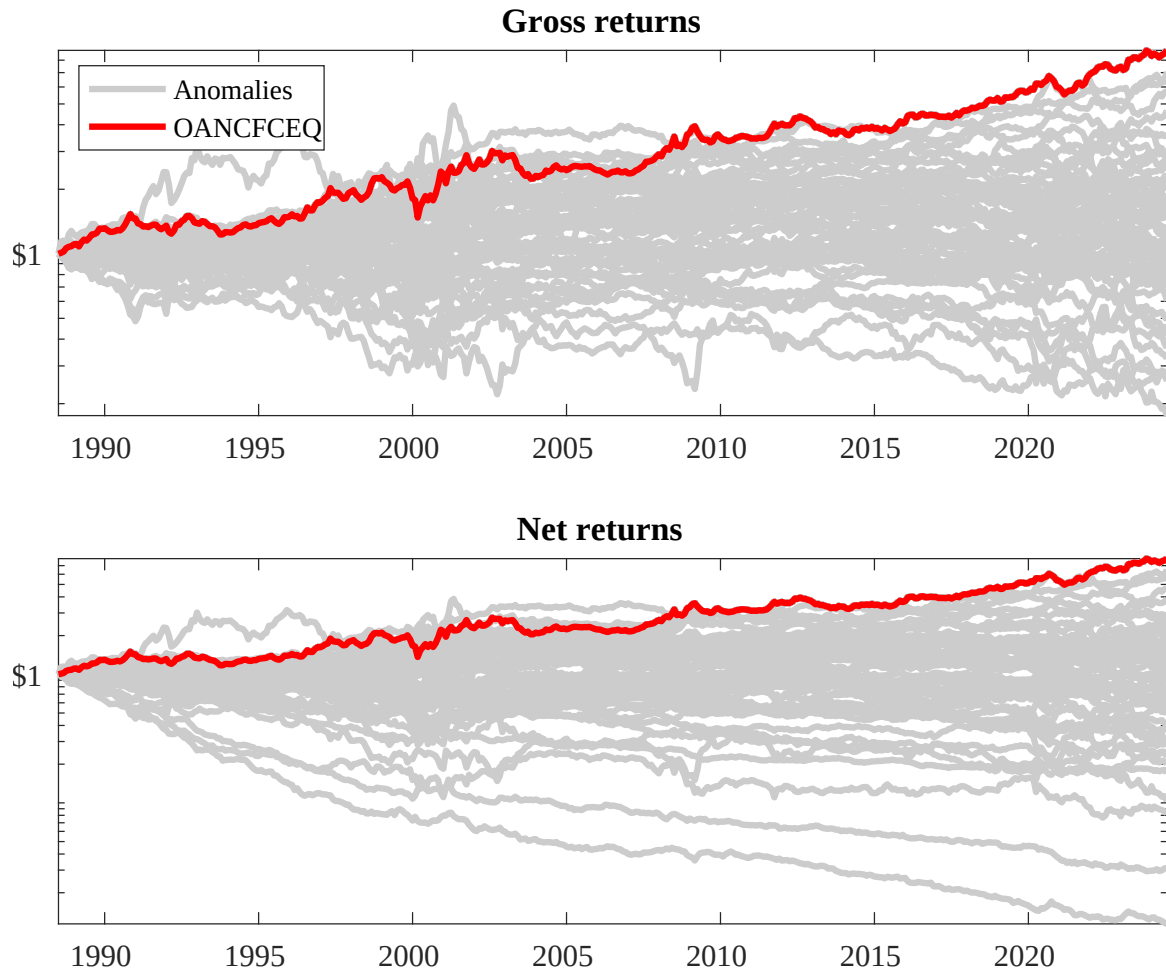
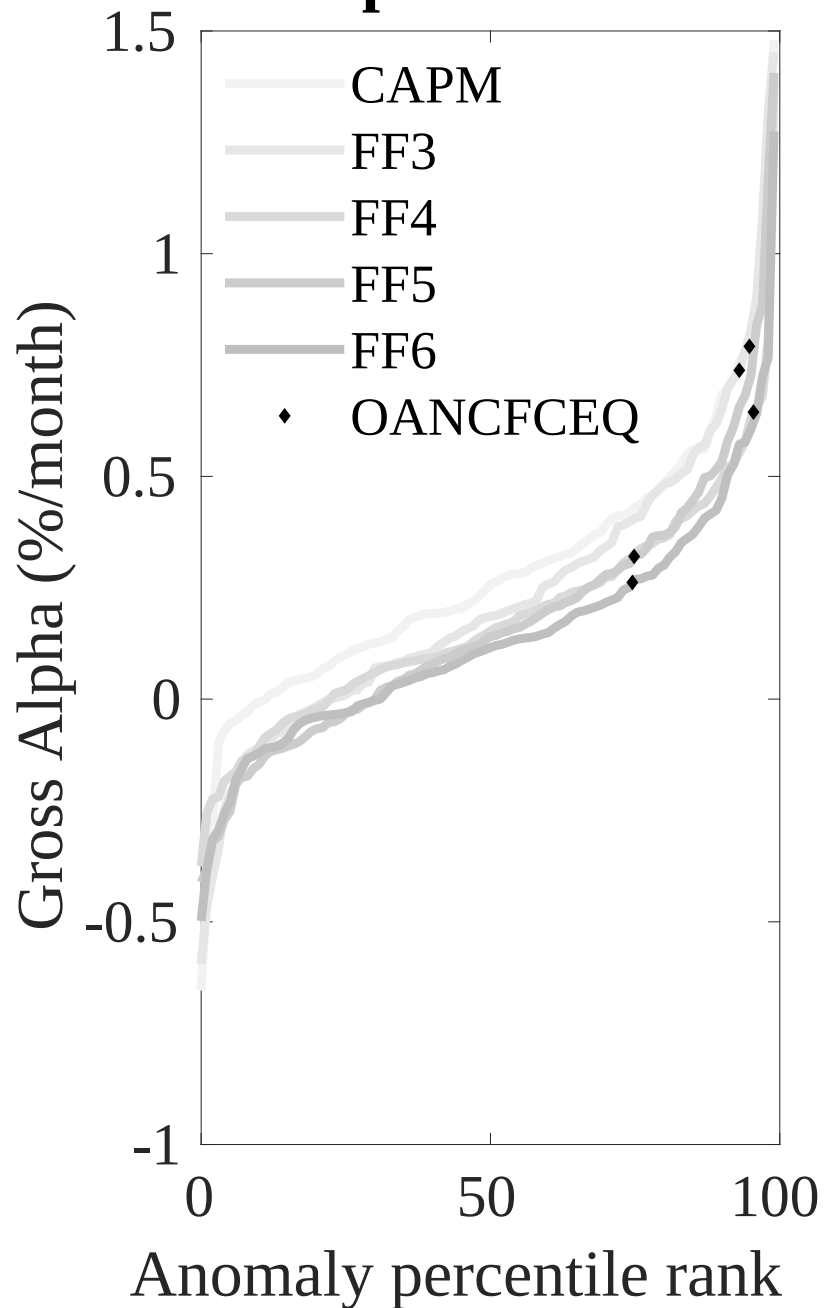


Figure 3: Dollar invested.

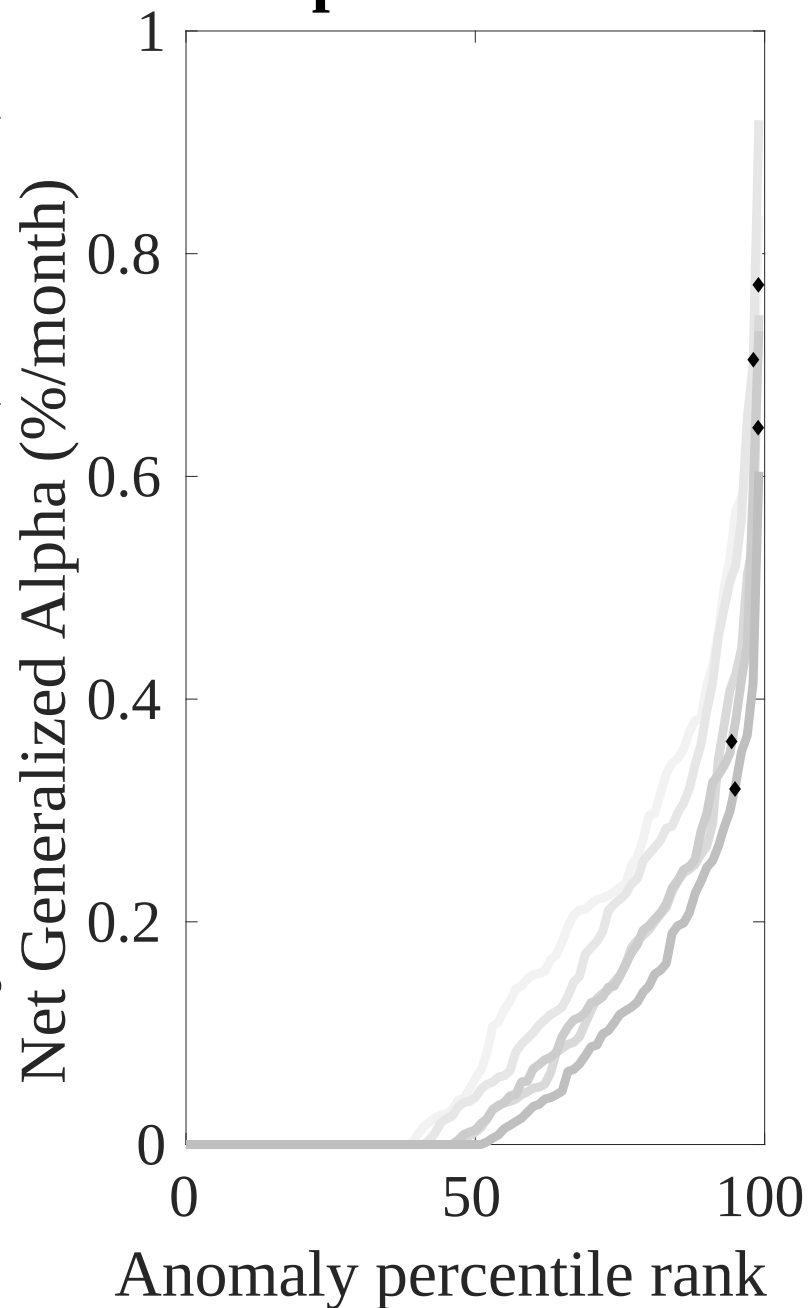
This figure plots the growth of a \$1 invested in 212 anomaly trading strategies (gray lines), and compares those with the ECG trading strategy (red line). The strategies are constructed using value-weighted quintile sorts using NYSE breakpoints. Panel A plots results for gross strategy returns. Panel B plots results for net strategy returns.

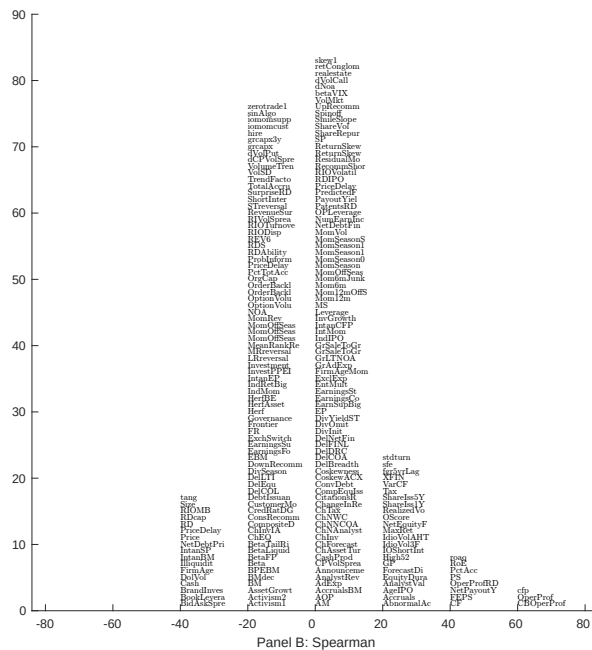
Gross Alpha Percentiles



Novy-Marx and Velikov (RFS, 2016)

Net Alpha Percentiles





23

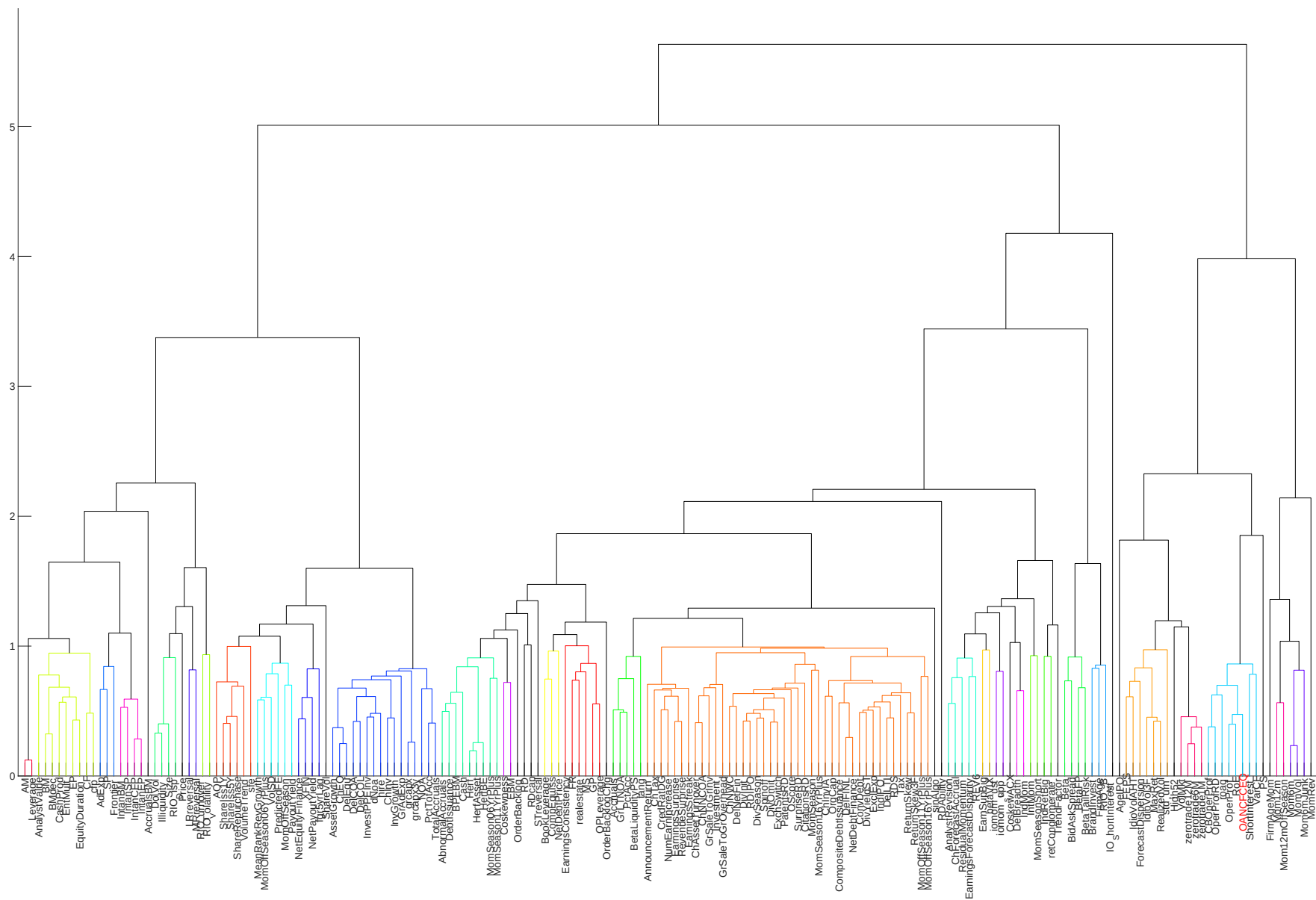


Figure 6: Agglomerative hierarchical cluster plot

This figure plots an agglomerative hierarchical cluster plot using Ward's minimum method and a maximum of 10 clusters.

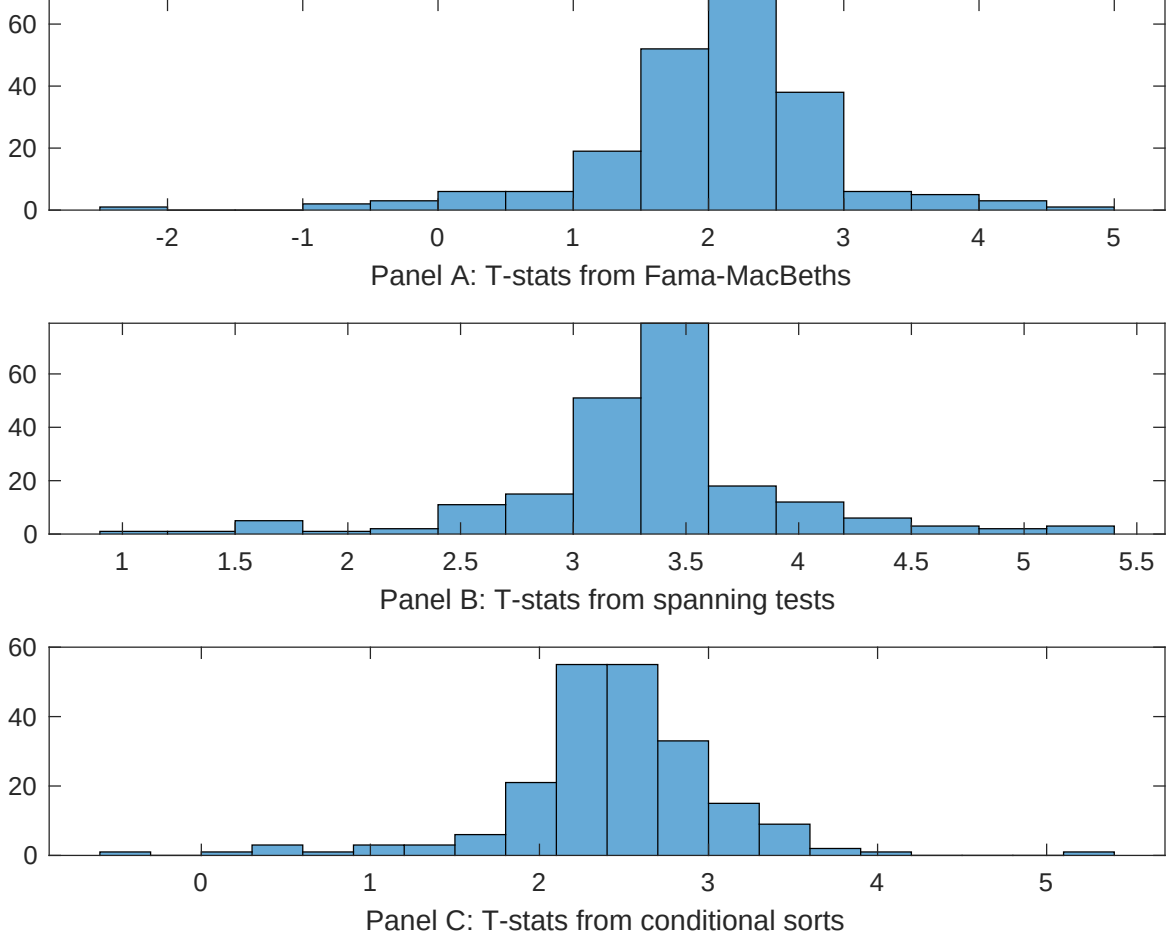


Figure 7: Distribution of t-stats on conditioning strategies

This figure plots histograms of t-statistics for predictability tests of ECG conditioning on each of the 210 filtered anomaly signals one at a time. Panel A reports t-statistics on β_{ECG} from Fama-MacBeth regressions of the form $r_{i,t} = \alpha + \beta_{ECG} ECG_{i,t} + \beta_X X_{i,t} + \epsilon_{i,t}$, where X stands for one of the 210 filtered anomaly signals at a time. Panel B plots t-statistics on α from spanning tests of the form: $r_{ECG,t} = \alpha + \beta r_{X,t} + \epsilon_t$, where $r_{X,t}$ stands for the returns to one of the 210 filtered anomaly trading strategies at a time. The strategies employed in the spanning tests are constructed using quintile sorts, value-weighting, and NYSE breakpoints. Panel C plots t-statistics on the average returns to strategies constructed by conditional double sorts. In each month, we sort stocks into quintiles based one of the 210 filtered anomaly signals at a time. Then, within each quintile, we sort stocks into quintiles based on ECG. Stocks are finally grouped into five ECG portfolios by combining stocks within each anomaly sorting portfolio. The panel plots the t-statistics on the average returns of these conditional double-sorted ECG trading strategies conditioned on each of the 210 filtered anomalies.

Table 4: Fama-MacBeths controlling for most closely related anomalies

This table presents Fama-MacBeth results of returns on ECG. and the six most closely related anomalies. The regressions take the following form: $r_{i,t} = \alpha + \beta_{ECG} ECG_{i,t} + \sum_{k=1}^s \beta_{X_k} X_{i,t}^k + \epsilon_{i,t}$. The six most closely related anomalies, X , are operating profits / book equity, net income / book equity, Analyst earnings per share, Net external financing, Idiosyncratic risk (AHT), Return on assets (qtrly). These anomalies were picked as those with the highest combined rank where the ranks are based on the absolute value of the Spearman correlations in Panel B of Figure 5 and the R^2 from the spanning tests in Figure 7, Panel B. The sample period is 198806 to 202406.

Intercept	0.90 [3.03]	0.10 [3.48]	0.87 [2.54]	0.12 [4.26]	0.11 [4.76]	0.11 [4.00]	0.11 [5.09]
ECG	0.18 [2.82]	0.23 [2.85]	0.17 [2.68]	0.87 [0.11]	0.20 [3.77]	0.52 [0.91]	0.19 [2.83]
Anomaly 1	0.22 [2.44]						-0.45 [-0.56]
Anomaly 2		-0.15 [-0.28]					-0.14 [-2.59]
Anomaly 3			0.51 [0.75]				-0.14 [-0.49]
Anomaly 4				0.17 [5.76]			0.11 [4.38]
Anomaly 5					0.74 [1.22]		0.60 [0.75]
Anomaly 6						0.42 [2.74]	0.36 [3.20]
# months	427	432	427	432	427	427	427
$\bar{R}^2(\%)$	0	0	2	1	2	1	0

Table 5: Spanning tests controlling for most closely related anomalies

This table presents spanning tests results of regressing returns to the ECG trading strategy on trading strategies exploiting the six most closely related anomalies. The regressions take the following form: $r_t^{ECG} = \alpha + \sum_{k=1}^6 \beta_{X_k} r_t^{X_k} + \sum_{j=1}^6 \beta_{f_j} r_t^{f_j} + \epsilon_t$, where X_k indicates each of the six most-closely related anomalies and f_j indicates the six factors from the [Fama and French \(2015\)](#) five-factor model augmented with the [Carhart \(1997\)](#) momentum factor. The six most closely related anomalies, X , are operating profits / book equity, net income / book equity, Analyst earnings per share, Net external financing, Idiosyncratic risk (AHT), Return on assets (qtrly). These anomalies were picked as those with the highest combined rank where the ranks are based on the absolute value of the Spearman correlations in Panel B of Figure 5 and the R^2 from the spanning tests in Figure 7, Panel B. The sample period is 198806 to 202406.

Intercept	0.23 [2.73]	0.25 [2.78]	0.27 [2.89]	0.22 [2.46]	0.27 [2.90]	0.25 [2.76]	0.21 [2.53]
Anomaly 1	35.66 [8.80]						36.31 [7.54]
Anomaly 2		22.45 [4.09]					-2.95 [-0.48]
Anomaly 3			-1.89 [-0.54]				-17.06 [-4.19]
Anomaly 4				22.03 [5.01]			12.32 [2.58]
Anomaly 5					4.42 [1.50]		5.05 [1.54]
Anomaly 6						6.25 [1.53]	4.08 [0.99]
mkt	-2.55 [-1.18]	-3.38 [-1.42]	-6.89 [-2.84]	-3.29 [-1.42]	-4.63 [-1.78]	-5.58 [-2.36]	-2.20 [-0.92]
smb	-29.46 [-9.24]	-30.87 [-8.39]	-39.23 [-9.99]	-30.75 [-8.75]	-34.33 [-8.30]	-36.83 [-10.86]	-31.40 [-7.97]
hml	-14.44 [-3.86]	-17.55 [-4.40]	-19.17 [-4.72]	-17.17 [-4.35]	-20.64 [-5.05]	-17.40 [-4.11]	-10.61 [-2.62]
rmw	44.29 [8.44]	56.33 [8.97]	78.00 [13.71]	62.69 [13.01]	71.23 [13.71]	70.23 [12.60]	48.72 [7.43]
cma	23.16 [4.25]	33.83 [5.87]	31.77 [5.34]	17.13 [2.70]	29.53 [4.97]	30.83 [5.28]	17.79 [2.90]
umd	5.19 [2.67]	8.29 [4.10]	9.97 [4.58]	8.83 [4.45]	8.55 [3.99]	7.96 [3.48]	6.38 [2.92]
# months	428	432	428	432	428	428	428
$\bar{R}^2(\%)$	77	73	73	74	73	73	78

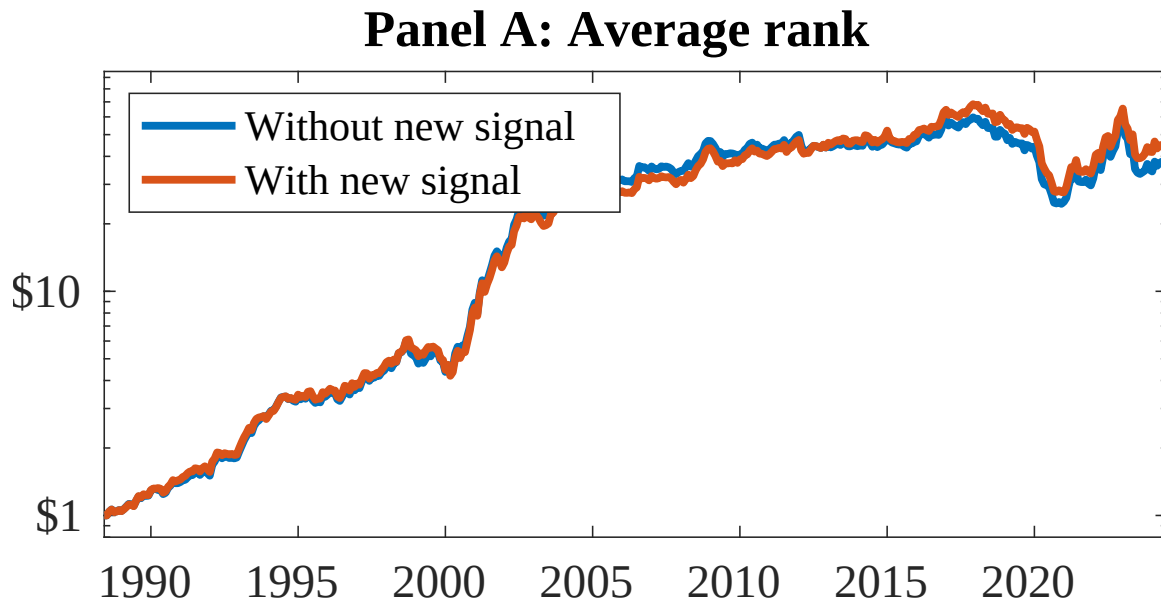


Figure 8: Combination strategy performance

This figure plots the growth of a \$1 invested in trading strategies that combine multiple anomalies following [Chen and Velikov \(2022\)](#). In all panels, the blue solid lines indicate combination trading strategies that utilize 158 anomalies. The red solid lines indicate combination trading strategies that utilize the 158 anomalies as well as ECG. Panel A shows results using "Average rank" as the combination method. See [Section 7](#) for details on the combination methods.

References

- Ball, R., Gerakos, J., Linnainmaa, J. T., and Nikolaev, V. V. (2015). Deflating profitability. *Journal of Financial Economics*, 117(2):225–248.
- Barber, B. M. and Odean, T. (2008). All that glitters: The effect of attention and news on the buying behavior of individual and institutional investors. *Review of Financial Studies*, 21(2):785–818.
- Carhart, M. M. (1997). On persistence in mutual fund performance. *Journal of Finance*, 52:57–82.
- Chen, A. and Velikov, M. (2022). Zeroing in on the expected returns of anomalies. *Journal of Financial and Quantitative Analysis*, Forthcoming.
- Chen, A. Y. and Zimmermann, T. (2022). Open source cross-sectional asset pricing. *Critical Finance Review*, 27(2):207–264.
- DellaVigna, S. and Pollet, J. M. (2009). Investor inattention and friday earnings announcements. *Journal of Finance*, 64(2):709–749.
- Detzel, A., Novy-Marx, R., and Velikov, M. (2022). Model comparison with transaction costs. *Journal of Finance*, Forthcoming.
- Fama, E. F. and French, K. R. (1993). Common risk factors in the returns on stocks and bonds. *Journal of Financial Economics*, 33(1):3–56.
- Fama, E. F. and French, K. R. (2015). A five-factor asset pricing model. *Journal of Financial Economics*, 116(1):1–22.
- Fama, E. F. and French, K. R. (2018). Choosing factors. *Journal of Financial Economics*, 128(2):234–252.

- Hirshleifer, D., Hou, K., Teoh, S. H., and Zhang, Y. (2004). Do investors overvalue firms with bloated balance sheets? *Journal of Accounting and Economics*, 38:297–331.
- Hirshleifer, D. and Teoh, S. H. (2003). Limited attention, information disclosure, and financial reporting. *Journal of Accounting and Economics*, 36(1-3):337–386.
- Hong, H., Lim, T., and Stein, J. C. (2000). Bad news travels slowly: Size, analyst coverage, and the profitability of momentum strategies. *Journal of Finance*, 55(1):265–295.
- Hou, K. and Moskowitz, T. J. (2005). Information diffusion and asymmetric cross-autocorrelations in stock returns. *Review of Financial Studies*, 18(3):694–726.
- Novy-Marx, R. (2013). The other side of value: The gross profitability premium. *Journal of Financial Economics*, 108(1):1–28.
- Novy-Marx, R. and Velikov, M. (2016). A taxonomy of anomalies and their trading costs. *Review of Financial Studies*, 29(1):104–147.
- Novy-Marx, R. and Velikov, M. (2023). Assaying anomalies. *Working paper*.
- Peng, L. and Xiong, W. (2006). Investor attention and time-varying comovements. *European Financial Management*, 12(3):394–422.
- Richardson, S. A., Sloan, R. G., Soliman, M. T., and Tuna, I. (2005). Accrual reliability, earnings persistence and stock prices. *Journal of Accounting and Economics*, 39(3):437–485.
- Sloan, R. G. (1996). Do stock prices fully reflect information in accruals and cash flows about future earnings? *The Accounting Review*, 71(3):289–315.